

has such a column. Your broker may also be able to provide the information, or you may find that your local library subscribes to the newsletters. There's also a tabulation of insider buying and selling in the *Value Line* publication.

(Insider selling usually means nothing, and it's silly to react to it. If a stock had gone from \$3 to \$12 and nine officers were selling, I'd take notice, particularly if they were selling a majority of their shares. But in normal situations insider selling is not an automatic sign of trouble within a company. There are many reasons that officers might sell. They may need the money to pay their children's tuition or to buy a new house or to satisfy a debt. They may have decided to diversify into other stocks. But there's only one reason that insiders buy: They think the stock price is undervalued and will eventually go up.)

(13) THE COMPANY IS BUYING BACK SHARES

Buying back shares is the simplest and best way a company can reward its investors. If a company has faith in its own future, then why shouldn't it invest in itself, just as the shareholders do? The announcement of massive share buybacks by company after company broke on October 20, 1987 the fall of many stocks, and stabilized the market at the height of its panic. Long term, these buybacks can't help but reward investors.

When stock is bought in by the company, it is taken out of circulation, therefore shrinking the number of outstanding shares. This can have a magical effect on earnings per share, which in turn has a magical effect on the stock price. If a company buys back half its shares and its overall earnings stay the same, the earnings per share have just doubled. Few companies could get that kind of result by cutting costs or selling more widgets.

Exxon has been buying in shares because it's cheaper than drilling for oil. It might cost Exxon \$6 a barrel to find new oil, but if each of its shares represents \$3 a barrel in oil assets, then retiring shares has the same effect as discovering \$3 oil on the floor of the New York Stock Exchange.

This sensible practice was almost unheard of until quite recently. Back in the 1960s, International Dairy Queen was one of the pioneers in share buybacks, but there were few others who followed suit. At the delightful Crown, Cork, and Seal they've bought back shares every year for the last twenty. They never pay a dividend, and they never make unprofitable acquisitions, but by shrinking shares they've gotten the maximum impact from the earnings. If this keeps up, someday there will be a thousand shares of Crown, Cork, and Seal—worth \$10 million apiece.

At Teledyne, chairman Henry E. Singleton periodically offers to buy in the